

Pearson Edexcel

Level 3 GCE

Practice Paper 1B (Advanced) - Mark Scheme

Time: 1 hour 30 minutes | Paper Reference: **8EB0/01**

Economics B

Advanced Subsidiary

Paper 1: Markets, consumers and firms

Mark Scheme

This mark scheme follows the structure and style of official Pearson Edexcel mark schemes. Marks should be applied positively, rewarding candidates for what they have shown they can do. Examiners should use the levels-based descriptors for extended-response questions and the indicative content as a guide to the kind of answers candidates may produce.

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

QUESTION 1 (Total: 30 marks)

Question 1(a) Marks: 2

AO breakdown: Knowledge / understanding 2

Knowledge / understanding 2 marks for:

- The cost advantages a business gains when output increases (1) leading to a fall in long-run average costs (1)

OR

- A reduction in average cost per unit (1) as the scale of production increases (1)

NB any other suitable alternative. Do not award marks for examples alone. (2)

Question 1(b) Marks: 4

AO breakdown: Knowledge / understanding 1, Application 3

Knowledge / understanding 1 mark for:

Profit for the year (or Net profit)

----- x 100 (1)

Sales revenue

Application:

630 000 (1)

----- x 100 = 15.00% (1)

4 200 000 (1)

NB: if no working is shown award marks as below:

- If the answer given is 15.00% award 4 marks
- If the answer given is 15% or 15.0% award 3 marks
- If the answer given is 15 award 2 marks

(4)

Question 1(c) Marks: 4

AO breakdown: Knowledge/understanding 2, Application 1, Analysis 1

Knowledge/understanding:

- 1 mark for correctly showing supply and demand curves (1)
- 1 mark for correctly labelling axes price and quantity (1)

Application: 1 mark for showing a rightward (downward) shift of the supply curve (1) (subsidy reduces cost of production)

Analysis: 1 mark for showing original and new equilibrium with consequences on the axes - lower price, higher quantity (1)

[Diagram should show: D curve, S1 shifting right (or down by the value of the subsidy) to S2, new equilibrium with $P_2 < P_1$ and $Q_2 > Q_1$]

(4)

Question 1(d) Marks: 8

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 2, Evaluation 2

Indicative content:

- Share capital is finance raised by issuing shares in the business in return for ownership rights
- Selling shares dilutes the ownership of existing shareholders, reducing their control over the firm
- Richard Bennett, the founder of TechMakers Ltd, may lose some of his decision-making power if his shareholding is diluted
- New shareholders will expect a share of future profits in the form of dividends, reducing the amount available as retained profit for future investment
- Issuing new shares can be costly - legal fees, advisory fees, regulatory compliance and listing costs
- Shareholders may push the business towards short-term profit-maximisation rather than long-term investment in R&D or innovation
- Listed companies face additional disclosure requirements, meaning sensitive information may need to be shared with competitors
- However, share capital does not need to be repaid like a loan, and dividends are only paid if profits allow
- For a firm with significant capital expenditure needs (such as TechMakers' investment in automated machinery), share capital can be a major source of finance
- The disadvantages may be outweighed by the benefits if the additional finance enables the firm to take advantage of economies of scale

Levels descriptor

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Question 1(e) Marks: 12

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 4, Evaluation 4

Indicative content:

- Internal (organic) growth is expansion achieved by increasing the scale of existing operations, e.g. through investment in new equipment, new product development or hiring more staff
- External growth, by contrast, occurs through mergers, takeovers or strategic alliances
- Internal growth allows TechMakers Ltd to retain its existing corporate culture and management structure
- It is typically lower risk than external growth, as the firm builds on what it already knows and understands
- Internal growth can be financed through retained profit, avoiding the need to take on significant new debt or dilute ownership
- Existing customers, suppliers and employees are unlikely to be disrupted, maintaining stability in operations
- Internal growth allows the firm to develop economies of scale gradually, which is exactly what TechMakers has done by investing in automated machinery and energy-efficient equipment

- It can be aligned with the firm's strategic priorities, e.g. the focus on environmentally friendly manufacturing supported by government subsidies
- However, internal growth tends to be slower than external growth, which may be a problem in fast-moving industries facing strong competition from Asian rivals
- External growth (e.g. through merger) might allow TechMakers to immediately gain market share, technology or international reach
- Internal growth may be constrained by the availability of retained profit, particularly if profits fall due to rising raw material costs
- In a globally competitive industry, internal growth alone may be insufficient to keep up with rivals
- Therefore, while internal growth has clear advantages for a firm such as TechMakers, the decision between internal and external growth depends on the firm's strategic priorities and the competitive landscape

Levels descriptor

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Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well-developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

QUESTION 2 (Total: 30 marks)

Question 2(a) Marks: 2

AO breakdown: Knowledge / understanding 2

Knowledge / understanding 2 marks for:

- A measure of the responsiveness of quantity demanded (1) to a change in price (1)

OR

- $PED = \% \text{ change in quantity demanded (1) divided by } \% \text{ change in price (1)}$

NB any other suitable alternative. Do not award marks for examples alone. (2)

Question 2(b) Marks: 4

AO breakdown: Knowledge/understanding 1, Application 2, Analysis 1

Knowledge/understanding: 1 mark for e.g. cash outflows are greater than cash inflows / net cash flow is negative (1)

Application: Up to 2 marks for contextualised answers, e.g.

- The net cash flow in March 2024 is forecast to be (£900) (1)
- Total cash outflow of £21,400 exceeds total cash inflow of £20,500 (1)
- Stock purchases have risen sharply (1)
- The closing balance is forecast to be negative (£600) (1)

Analysis: 1 mark is available for linked development, e.g. higher wage costs and stock purchases as the business grows lead to a cash shortfall, even though sales revenue is rising (1)

(4)

Question 2(c) Marks: 4

AO breakdown: Knowledge / understanding 1, Application 3

Knowledge / understanding 1 mark for:

% change in quantity demanded

----- (1)

% change in price

Application:

% change in QD = $(720 - 800) / 800 \times 100 = -10\%$ (1)

% change in price = $(22 - 20) / 20 \times 100 = +10\%$ (1)

PED = $-10 / 10 = -1.00$ (1)

NB: if no working is shown award marks as below:

- If the answer given is -1.00 (or 1.00, indicating PED is normally negative) award 4 marks
- If the answer given is -1 or 1 award 3 marks
- Accept unitary elastic as supporting interpretation

(4)

Question 2(d) Marks: 8

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 2, Evaluation 2

Indicative content:

- A substitute good is one that can be used in place of another - the supermarket's low-cost organic vegetable range is a close substitute for GreenGrow's vegetable boxes
- When the price of a substitute falls (the supermarket range is 30% cheaper than GreenGrow), consumers are likely to switch to the cheaper alternative
- This causes a fall in demand at every price level - the demand curve shifts to the left (inward shift)
- [Possible use of diagram showing leftward shift in demand]
- At the existing prices (£20 standard, £35 family), the quantity demanded of GreenGrow boxes will be lower than before the supermarket entered the market
- This could reduce GreenGrow's sales revenue and worsen its already negative cash flow
- However, GreenGrow's customers may value the firm's ethical and environmental commitments (locally sourced, supporting local farmers, reduced food miles) which the supermarket cannot easily match
- Some customers may be income-inelastic and willing to pay more for premium organic produce, meaning the shift in demand may be smaller than expected
- James could differentiate further (e.g. unique varieties, recipe cards, community events) to retain customers
- The extent of the shift depends on the cross elasticity of demand between GreenGrow's boxes and the supermarket alternative - if customers see them as close substitutes, the impact will be larger

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Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Question 2(e) Marks: 12

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 4, Evaluation 4

Indicative content:

- Non-financial motives include ethical stance, social entrepreneurship, independence, lifestyle choices and environmental concerns
- James explicitly states he was concerned about food sustainability and the environmental impact of long-distance food transportation - this suggests environmental ethics are a key motive
- James notes he knew from the start that the business would not make him rich, indicating profit was not his primary objective
- His decision to source from local farms within a 30-mile radius reflects an ethical stance on supporting local producers and reducing food miles
- His stated mission of providing healthy, affordable food to his community reflects social entrepreneurship motives
- However, James also says he needs to make sure the business is financially sustainable - financial motives remain important
- The cash flow forecast shows that GreenGrow has a negative closing balance in March and April 2024, suggesting financial pressures are real

- James is considering raising prices in response to higher demand - this is a financial decision designed to improve profitability
- Without sufficient profit, GreenGrow would not survive, and James would not be able to achieve his ethical and environmental objectives
- A balance must be struck between ethical motives and commercial reality - the two are not mutually exclusive but can sometimes conflict
- Overall, non-financial motives appear to be the primary drivers for James, with financial motives acting as a constraint to ensure the business remains viable
- A judgement may consider that whilst non-financial motives explain why James set up the business, financial motives must dominate decision-making once the business is operating

Levels descriptor

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Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well-developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

QUESTION 3 (Total: 20 marks)

Question 3 Marks: 20

AO breakdown: Knowledge / Understanding 4, Application 4, Analysis 6, Evaluation 6

Indicative content:

- Government failure occurs when government intervention leads to a misallocation of resources or worsens the outcome compared with the free market
- Common causes of government failure include unintended consequences, regulatory capture, high administrative costs and information failure
- The sugar tax was intended to address childhood obesity and type 2 diabetes (a market failure caused by negative consumption externalities and information asymmetries)
- Critics argue the tax is regressive - lower-income households spend a higher proportion of income on sugary drinks, so the tax disproportionately harms them
- Many sugary products (biscuits, cakes, confectionery) are not covered by the levy, so consumers may substitute toward other high-sugar products, undermining the policy
- Some studies suggest obesity rates have not fallen as much as the government hoped, raising questions about effectiveness
- Administrative and compliance costs are high - particularly for small drinks producers, raising concerns about an uneven playing field with large multinationals
- These are clear examples of unintended consequences and policy distortion
- However, the tax appears to have achieved its main goal of reformulation: large manufacturers have reduced sugar content, and total sugar from soft drinks has fallen by an estimated 30%
- Revenue from the tax has been hypothecated for school sports and breakfast clubs, generating additional public benefit
- The Soft Drinks Industry Levy may be more effective if combined with education campaigns and policies targeting other sugary products
- The 30% reduction in sugar from soft drinks suggests the policy has had a meaningful behavioural impact on producers, even if consumer behaviour is harder to change
- A judgement could consider that, while the sugar tax has some features of government failure (regressivity, administrative costs, limited scope), it has also produced clear behavioural changes that benefit public health
- Whether the tax represents government failure depends on whether one prioritises distributional concerns or the headline public health benefits

Levels descriptor

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.
Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.

Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and partially evaluated. An awareness of the significance of competing arguments is present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and, in addition, may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question, and may directly reference, interpret or analyse the information provided in any relevant stimulus.